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# CONTRARIAN RESEARCH REPORT

## COMPENDIUM

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May 2011

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### Featured Companies

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*H&R Block, Inc. (HRB)*  
*Alleghany Corp. (Y)*  
*DISH Network Corp. (DISH)*  
*Entercom Communications Corp. (ETM)*



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## *Musings*

### THE SOCIAL REVOLUTION IN SOFTWARE

Given the social revolution in software now underway, programmers can work in small groups independent of a major corporation and sell their own software written for the various platforms or devices like a smartphones. In that way, programmers essentially bypass the large corporations. One of the modalities for accomplishing this independence is the evolution of application stores (“app stores”). Every smartphone manufacturer maintains a retail app store that sells games, utilities, and other products for its devices.

The Google app store, known as the Google Android Market, was launched in October 2008 and probably has over 200,000 apps available for sale on it, according to multiple sources on the internet. BlackBerry App World, launched in April 2009, probably has 15,000 apps. The Nokia Ovi Store, launched in May 2009, probably has over 40,000 apps. The Apple App Store, launched in July 2008, was the first and it probably has 185,000 apps.

The general practice is that the software developer gets 70% of the sales revenue, while a commission of 30% is retained by the so-called hosting service or app store. Given the vast proliferation of these devices and the number of apps available for them makes operating an app store very profitable. Much more profitable, however, is the situation of a developer, who can, in principle, sell millions of apps.

From what I can see, the average app probably sells for something like \$5.00, although some are very expensive and many are free. Therefore, to develop an app and sell 1 million of them, assuming the average price is indeed \$5.00, would result in remuneration of \$3.5 million. If 10 million apps were sold instead of 1 million, the remuneration would be \$35 million.

Clearly, the incentive for talented programmers is to work on their own rather than for a corporation. That phenomenon has led to a vast proliferation of new software, which is changing the industry, and has made open architecture the standard.

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## Market Share of Smartphone Operating Systems

|                    | <u>2009</u> | <u>2010</u> |
|--------------------|-------------|-------------|
| Symbian            | 46.9%       | 37.6%       |
| Research in Motion | 19.9%       | 16.0%       |
| iPhone             | 14.4%       | 15.7%       |
| Microsoft          | 8.7%        | 4.2%        |
| Other              | 6.1%        | 3.8%        |
| Android            | 3.9%        | 22.7%       |

*(rounded to nearest tenth)*

*Source: Gartner Group, February 2011*

In 2009, Symbian, which has been the operating system used on Nokia phones, had almost a 47% share. At the same time, Android had a 3.9% share. In 2010, Symbian's market share fell to 37.6% from 46.9%, which is a substantial drop. Nevertheless, Symbian phones hold the largest market share. That situation is problematic for Nokia, which has stated in public that it will migrate to the Microsoft operating system. Until such time as that's accomplished, very few people will be programming for the Symbian operating system.

In the same period of time, Android has moved into second position, with 22.7% of market share, up from 3.9%. That's a huge increase. Clearly, the fate of the various smartphone manufacturers will depend on consumer preferences for these operating systems and on the profit incentives for programmers to write for those systems.

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## *Industry Thoughts*

### SMARTPHONES

It's conceivable that the world may witness the sale of more than half a billion smartphones this year. It is an enormous market. Given the number of smartphones sold in 2009 and 2010, and a growth rate of over 70 percent, it is probably no exaggeration to state that one out of every four people on the planet will soon have, or may already have, a smartphone.

In essence, the number of smartphone apps per operating system or platform, when viewed as a percentage of the total number of apps ("apps") available, is an implied sales forecast. The reason is that the programmers who write the apps are, presumably, the best informed about that market. They understand what can be done with the various operating systems and which ones are likely to be popular with consumers.

The programmers certainly have incentive to devote maximum effort to understanding consumer preferences, since that's the major factor in determining their potential earnings on the apps they write. Therefore, the number of apps per operating system is effectively a vote among the most informed people in the industry.

To continue the thesis discussed in the *Musings* section, the following table lists the estimated number of apps per operating system. The total of 440,000 apps can be translated into an implied informed market share forecast. At any point in time, the number of apps written per operating system represents the implied forecast. That forecast reflects where the programmers choose to devote their efforts, so it's probably the best predictor of consumer preferences, rather than the actual market shares as they exist now.

| <i>(As of 4/8/11)</i> | <u>Apps for Sale Per<br/>Operating System</u> | <u>Implied Market<br/>Share Forecast</u> |
|-----------------------|-----------------------------------------------|------------------------------------------|
| Android-based         | 200,000                                       | 45.45%                                   |
| Blackberry/RIM        | 15,000                                        | 3.41%                                    |
| Nokia                 | 40,000                                        | 9.09%                                    |
| Apple                 | <u>185,000</u>                                | <u>42.05%</u>                            |
| Total                 | 440,000                                       | 100%                                     |

*Source: Multiple publications available online*

Based on the implied market share forecast, Android-based apps have a 45% market share; Apple has 42%; BlackBerry, produced by Research in Motion, has over 3%; and Nokia has

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9%. It's worth noting that the Nokia figures carry the historical legacy of the Symbian operating system applications, which distorts the numbers in favor of Nokia. While Nokia now has an implied forecast of 9% market share, it currently has many times that amount; therefore, this company is challenged.

Of course, Nokia expects that customers will find the Microsoft platform alluring. Perhaps they will; however, there are already many smartphones available using the Microsoft system. One can now buy a smartphone from Samsung or LG Electronics for \$49.99, and it appears to me that smartphone prices are falling dramatically. That pricing pressure also has implications for Research in Motion, which sells the Blackberry. This company had \$14.95 billion of sales in fiscal 2011, which ended in February. Let us choose a price point of, say, \$100, and try to determine how much of its revenue came from smartphones, then translate it into how many devices were sold.

According to Research in Motion's own statistics, 81% of total revenue came from the sale of devices, largely smartphones. Multiplying 0.81 by the total revenue base results in \$12.1 billion from devices. If the price point were \$100, then the company would need to sell 121 million smartphones to equilibrate with their revenue of the past year. If prices fall, and the market share also falls, as the implied forecast seems to suggest, Research in Motion and many other companies operating in this space are likely to be challenged in one respect or another.

It should be noted that the price Research in Motion receives is the amount that the cellular telephone company pays for the phones. In fact, the price we pay in retail is less than that amount, because the telephone company is, in effect, subsidizing the sales.

At a \$50 smartphone price point, it seems reasonable to expect that the cellular telephone companies won't wish to continue subsidizing to that degree, since there are so many choices. They will likely demand market-based pricing on the devices. I believe that situation is inevitable, since there is already a major commitment on behalf of the public to phones of this type.

Incidentally, the reason, that cell phone companies originally subsidized the market was because they charge data fees. The smartphones were expected to use the network more intensively so it made sense to subsidize the sale of the phones in the beginning. Now that there is a large established base of phones, the need to subsidize declines with each passing month.

I believe that the practice of subsidies will ultimately cease and the telephone companies will be intermediaries selling to the public at cost. At that point, we will see what the actual earnings of the cell phone manufacturers are without the telephone company subsidies.

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## *Facts & Figures*

### VERSATILITY OF THE VIX INDEX

For the purposes of this discussion, let's describe the VIX Index as a weighted average of prices for a range of options on the S&P 500 Index. In principle, it represents the expected movement of the S&P Index over the course of the next month.

The VIX obviously changes every day. On Friday, April 8, 2011, the VIX was at 17.87.<sup>1</sup> To translate that into an expectation of the 30-day plus-or-minus movement of the S&P 500, divide the VIX level of 17.87 by the square root of 12 (roughly 3.46) for a result that translates into market anticipation of a 5.16% plus or minus move of the S&P in the following 30 days.

On October 27, 2008, the VIX closed at slightly in excess of 80.06. Dividing 80.06 by the square root of 12 results in market anticipation of a 23.14% movement for the next 30 days. Given the financial crisis, that movement was not an unreasonable expectation.

If that's a reasonable expectation, and I think it was, then it follows that the VIX will expand or contract much more than the S&P 500 during a crisis. Prior to the crisis, the VIX was below 20, so the crisis coefficient of expansion was 4 times. Compare that to the S&P 500, which certainly did not contract or expand by 4 times (The S&P 500's contraction was a little over 2 times from its peak before the crisis to its lowest point in March 2009). Therefore, if one wishes to have a trading vehicle that expands and contracts by that order of magnitude, the VIX is superior to the S&P 500 in that sense.

It's also worth noting that the S&P 500 has an organic reality attached to it, which is to say that it pays dividends. Further, it has a book value, which is usually growing, because the companies in the S&P 500 are profitable in the aggregate even though it includes some unprofitable companies. There's an organic drag in the S&P 500, which in theory doesn't exist in the VIX, but in practice it does, because one cannot buy spot VIX. One can only buy a VIX future, which has a fairly substantial contango versus the theoretical spot.

Even so, if one believes it is possible to anticipate the market-forecasted 30-day movement, then it makes sense to pay the contango, because that is likely to be far less than the change in the VIX. The VIX Futures market is probably the most rapidly growing trading instrumentality that exists today, and it might even be the most rapidly growing in history.

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<sup>1</sup> This report was recorded on April 11, 2011.

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The following table shows the VIX Futures volume, based on the number of contracts per day, from 2005 to 2011 year-to-date.

## CBOE VIX Futures Volume

|      | <u>Contracts Per Day (Avg.)</u> |
|------|---------------------------------|
| 2005 | 1,000                           |
| 2006 | 2,000                           |
| 2007 | 4,000                           |
| 2008 | 5,000                           |
| 2009 | 9,000                           |
| 2010 | 17,000                          |
| 2011 | 42,000                          |

*The 2011 figure is YTD as of 4/8/11  
Source: CBOE*

In 2005, the average rate of daily volume on the VIX Futures was 1,000 contracts. Year-to-date as of April 8, that number is an average of 42,000 contracts per day. For the month of March 2011, the average daily volume was 46,000 contracts. On March 15, 2011, a particularly busy day in that month, the volume exceeded 97,000 contracts.

The VIX volume is growing very rapidly—so rapidly that it is growing at a rate of 35% per month sequentially. If volume grows 35% per month then, in the fullness of time, the VIX will be an enormous market in and of itself.

As the VIX volume grows, so too does the volume in the various VIX options contracts. In 2006, VIX options volume was 23,000 contracts per day. So far in 2011 it is 413,000 contracts a day.

## VIX Options Average Daily Volume

|      | <u># Contracts ('000s)</u> |
|------|----------------------------|
| 2006 | 23                         |
| 2007 | 93                         |
| 2008 | 103                        |
| 2009 | 132                        |
| 2010 | 248                        |
| 2011 | 413                        |

*The 2011 figure is YTD as of 4/8/11  
Source: CBOE*



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Notably, the CBOE is busily trying to apply the VIX technology to other asset classes. March 25, 2011 was something of a milestone, in that the CBOE launched a VIX future on gold.<sup>2</sup>

## *Featured Companies*

### H&R BLOCK, INC. (HRB)

H&R Block provides tax-filing assistance to Americans. Despite developments in software to assist people in filing their taxes, this company has more or less the same revenue as it had in 2003. It also has, more or less, the same market share it had a decade ago. Essentially, the company prepares one out of seven U.S. tax returns and that number doesn't fluctuate greatly.

From the point of view of the company, that stability is both good and bad. It's good in that the company has a very profitable and established customer base, but it is bad inasmuch as the company has had great difficulty in growing its business organically. Efforts it has made over the years to expand using tax preparation as a base from which to sell mortgages and other types of financial services have not met with success.

H&R Block has an April fiscal year, for obvious reasons, and its April 2011 earnings forecast suggests that the company trades at 10.8 times earnings, so it's a fairly inexpensive stock. It has a market capitalization of \$5.2 billion and an excellent balance sheet that it unfortunately has not able to grow dramatically. Over the last several years, in addition to divesting itself of failed subsidiaries, it has repurchased stock and continues to do so.

Now that the H&R Block business has been rationalized and its balance sheet sensibly arranged, given its excess cash flow, it should be possible to create value by further disassembling it. That value creation could be done with a possible spin-off of its McGladrey unit. McGladrey, the fifth-largest accounting firm in the United States, is essentially a business accounting firm. If there were a 'Big Five' for that group, McGladrey would be in it.

McGladrey represents 25% of the revenue but only one-third of the profit margins of H&R Block. Thus, if McGladrey were spun off to shareholders, it is likely that the otherwise high margins of H&R Block itself would allow it to generate more cash flow per share. The share price would be lower, given that McGladrey would not be included in it, and

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<sup>2</sup> This report was recorded 4/11/11. The options on GVZ, the CBOE gold VIX, began trading 4/12/11.

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H&R Block would probably either be able to buy back shares at that lower price at a more robust pace, or its price would be higher. The multiple probably would be higher, too. If the shares were to trade at a slightly higher multiple, say a 12, they would return more than 11 percent. There's no evidence that the company is considering this strategy, but it would be a reasonably sensible undertaking.

In the absence of a transaction of that type, the company has no obvious utilization for its fairly substantial cash flow. In recent years, it has returned that cash flow to shareholders. Given the share buyback program and the dividend, H&R Block is likely to appreciate at a rate in excess of the S&P 500. For that reason, it's recommended. If it were to engage in a spin-off, it would be doubly attractive.

## ALLEGHANY CORP. (Y)

Alleghany Corp. is a very conservatively managed holding company for various insurance businesses, and should not be confused with the former Allegheny Energy, a utility. Alleghany trades more or less at its book value of roughly \$332 a share. It pays no dividend and has a \$2.9 billion market capitalization. It is a repurchaser of shares; for example, in 2010, it repurchased 285,000 shares. Alleghany's management and directors own, in total, 470,000 shares, representing almost \$157 million worth of market value. Thus, the management has a vested interest in running the company in accordance with its conservative history.

It has various businesses. One subsidiary, AIHL, is a conventional property casualty business that is run in a conservative manner. The next subsidiary, known as RSUI, is involved in specialty insurance. Another, known as CATA, is a property casualty insurance business with a Midwest and Plains States focus. In those cases, the deals are relatively smaller: the insured amounts are relatively smaller and the sales cycle is longer. For that reason, the company has seen fit to organize that business separately.

Alleghany also has a workers' compensation business, known as PCC, which at the moment, is a shrinking business. In fact, it has stopped writing insurance in California, a state that is historically hostile to insurers that write workers' compensation policies. In other words, in California, workers' compensation litigation renders highly favorable decisions to the workers, to the detriment of the insurance companies. Alleghany is not the first, nor will it be the last company to stop writing such insurance in that state.

Another Alleghany subsidiary is AIHL Reinsurance, a captive reinsurer that engages in reinsurance of its own property casualty insurance business. Alleghany also has a 33% stake in a homeowner's insurance business called Homesite.

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From time to time, Alleghany invests its own capital in non-insurance-related businesses. It's done that throughout its history, which dates back many decades, and, generally speaking, those investments have been successful. Alleghany owns 320 acres of property that could be developed. The company also owns 38% of an oil exploration company, ORX Exploration, purchased in the summer of 2008, which illustrates Alleghany's opportunistic nature.

Alleghany's growth in book value per share is relatively modest by conventional standards. Nevertheless, in the fullness of time, that growth has been better than that of the S&P 500. For example, the compound annual rate of return of book value since 2006 is 7.43%. Although it sounds modest, it is superior to the S&P 500. Since December 31, 2008, which may be regarded as a more unique period, Alleghany generated a 10.3% annualized return on its own capital.

Growth in Book Value  
Per Common Share (\$)

|      |        |
|------|--------|
| 2010 | 331.81 |
| 2009 | 300.69 |
| 2008 | 272.72 |
| 2007 | 286.99 |
| 2006 | 249.14 |

*Source: Company Reports*

Essentially, Alleghany is a company that can be bought at book value. It is likely to earn something above a 10% return on equity. While the S&P 500 is said to generate, in the fullness of time, well in excess of a 10% return on equity, it simply doesn't achieve that rate when one adds in the various extraordinary charges that occur with great regularity. In any event, the S&P 500, according to the iShares website using the S&P 500 ETF as a benchmark, trades at 3.68 times book value as it was calculated on February 28, 2011.

On a risk-reward basis, is it better to purchase a 10-plus percent return on equity with a 100% reinvestment rate that trades effectively at book value? Or, is it better to buy what is putatively a 15% return on equity, but which has a 60% reinvestment rate, historically, and trades at 3.68 times book value? It seems that Alleghany is the better investment. Therefore, it's recommended.

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## DISH NETWORK (DISH)

DISH Network is the third-largest pay TV provider in the United States. Holding that rank is quite an accomplishment, especially since it has a much shorter history than the average cable TV company. DISH was founded in 1996 and owes its separately-traded existence to having been spun off from Echostar.

DISH Network's pay TV services are delivered via satellite rather than cable. It has 14.1 million subscribers and 15% of the U.S. pay TV market. However, that market is not growing and may soon feel the impact of the ever-growing phenomenon known as internet streaming of video

DISH Network recently purchased Blockbuster Video in bankruptcy for \$320 million. This purchase essentially provides DISH Network with an instantaneous video streaming business because, among its other services, this company provides high-speed internet access. The stock trades at 9.1 times earnings, because the pay TV market is not growing. In addition, the satellite business, like the cable business, requires periodic large capital investments to keep pace with the most recent technology standards.

DISH Network is run by an owner-operator known as Charles Ergen, who has been a very successful investor.<sup>3</sup> He certainly understands the importance of having relatively low cost access to the capital markets for maintaining this company's technological edge. It seems fairly obvious that this effort in streaming video, nascent though it might be, is an effort to improve the valuation multiple of DISH Network.

Some data suggests that this company has reasonable prospects of success. The customer churn rate at DISH Network is 1.76% per annum. By way of comparison, if one interpolates the Netflix figures on gross customer additions and ending subscribers for the last five years, one can calculate that its churn rate is over 50% per annum. If DISH Network succeeds in any respect in making an impression on the video streaming market, given how that market is valued, it's likely that its P/E multiple would expand enormously.

DISH Network also has \$3-plus billion of cash and marketable securities on its balance sheet, and about \$6.2 billion of debt. It has no tangible equity whatsoever. As a matter of fact, it has no equity of any kind, tangible or otherwise. Nevertheless, it is well capitalized

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<sup>3</sup> At owner-operator companies, a principal or owner makes decisions rather than agents or hired managers. The latter must manage their careers in relation to the short-term reactive expectations of shareholders and analysts, and must abide by arbitrarily set benchmarks including market share and revenue growth. They are reluctant to invest in their businesses during times of great economic uncertainty. Conversely, owner-operators are secure in their positions and can base their actions on long-term return-on-capital considerations. They have strategic flexibility for choosing capital structures that enhance returns and limit risk. Owner-operators can choose to remain in a given business or to allocate capital elsewhere. They are positioned to take advantage of economically uncertain times and the investment opportunities they present, often at fire-sale prices.

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for its purposes. DISH Network would probably wish to fund some of its future necessary capital expenditures from the sale of equity, and it's probably disinclined to do so at a P/E ratio of 9.1 times. Therefore, it's not inconceivable that this company might be successful in that regard.

## ENTERCOM COMMUNICATIONS CORP. (ETM)

Entercom Communications is a terrestrial radio company. One might think that terrestrial radio would no longer be viable, given the evolution of the internet and commercial-free satellite-based radio. Nevertheless, as surprising as it may sound, this company is reasonably profitable and its revenue is growing. It has a \$398 million market capitalization, and trades at 9.3 times earnings.

This low multiple is attributable to the market perception that radio will suffer greatly with the advent of so many other competitive forms of media and some radio companies haven't fared well. However, from the point of view of an advertiser, radio is a means of accessing an audience at a very low cost per impression. Surprising as it may sound, advertisers are returning to radio because this channel of advertising is relatively less expensive. In a certain sense, radio is experiencing a second life, in the form of talk radio via the internet.

The worldwide radio audience is not small, and Entercom has 100 radio stations in 23 markets, including San Francisco, Sacramento, Denver, Seattle, and Boston. Another interesting aspect of the company is that Entercom is owner-operated.<sup>4</sup> The Field family owns 34% and has a 76% voting interest. The family has improved the business organically. Long-term debt, which a year ago was \$655 million, is now \$485 million. The company is unlikely to make acquisitions or to expand organically, so it has a fair amount of cash flow, though its balance sheet is leveraged.

Entercom has \$170 million in shareholders' equity, which is all intangible. In fact, it has \$700 million of intangible assets on the balance sheet. It has devoted its cash flow, such as it is, to repaying debt, the annual interest expense for which is \$30 million per year. That strategy, apart from the return of advertisers to radio, could vastly improve the company's earnings. At 9 times earnings, it seems like a worthwhile recommendation.

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<sup>4</sup> See relevant footnote on page 12.

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## *How They Did It*

### THEODORE VAIL THE LONG VIEW

Alexander Graham Bell invented the telephone, but Theodore Vail invented the telephone business. Vail was the first general manager of American Bell Telephone. His initial tenure began in 1878 and ended in 1888, when he resigned. He returned to the company in 1907 as chief executive officer and, in the ensuing decade, he was responsible for creating AT&T as it existed until the Bell divestiture of 1984.

When Bell Telephone was incorporated in 1877, Alexander Graham Bell was granted only 10 shares for his patent on the telephone. While that may seem like an unduly small number of shares, it becomes understandable when added to the fact that Bell was engaged to be married to the daughter of Gardiner Hubbard, who made the first investment in the telephone on a venture basis. When Bell Telephone was incorporated as a company, Hubbard gave his daughter Mabel nearly 1,500 shares.<sup>5</sup>

#### Original Shareholders of Bell Telephone

|                       | <u>Shares</u> |
|-----------------------|---------------|
| Thomas Sanders*       | 1,497         |
| Mabel Hubbard         | 1,497         |
| Gardiner Hubbard      | 1,387         |
| Thomas Watson**       | 499           |
| Gertrude Hubbard      | 100           |
| Charles Hubbard       | 10            |
| Alexander Graham Bell | <u>10</u>     |
|                       | 5,000         |

\*well-to-do father of one of Bell's students

\*\*Bell's assistant

Had Bell not been enamored of Mabel, and she of him, it is unlikely that Bell would have obtained the financing necessary to develop the telephone. As a matter of fact, Hubbard was at first very displeased with the work done by Bell, who was supposed to be working on a multiplex telegraph that would carry multiple messages on a single wire. Bell, however, was interested in sound and helping the deaf, so he was working on developing a telephone instead.

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<sup>5</sup> John Brooks, *Telephone: The First Hundred Years* (New York: Harper & Row, 1975), 55.

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Bell Telephone was incorporated on July 9, 1877 and Bell married Mabel Hubbard two days later. So much of history hinges on improbable events.

It's also interesting to speculate that if Bell had never met Mabel, and had not received her father's financial backing for the telephone, then Elisha Gray would have been the first to patent the telephone. In that scenario, Western Union, the company that ultimately controlled the Elisha Gray patent, would have been the primary force in telecommunications. Western Union was controlled by the robber baron, Jay Gould. The history of telecommunications, and even of the United States itself, would have been very different if Gould had dominated the telephone system instead of Theodore Vail. In the early history of telecommunications, Vail was a major player.

He was born in Ohio, raised in New Jersey, and eventually became the manager of a telegraph service. After the Civil War, he moved to the western United States and became a railway mail clerk. At that time, the railway mail service was a branch of the United States Postal Service, so Vail was a civil service employee. He was amazingly efficient in expanding the mail via railway. By 1876, Vail was a general superintendent of the U.S. Postal Service, and it was in that capacity that he met Gardiner Hubbard.

Hubbard was a very successful patent attorney. He was also a very successful venture investor, which might be attributable to his knowledge of patents. He was one of the first investors in the Edison Speaking Phonograph Company and was the founder and president of the National Geographic Society. When Hubbard died in 1897, his son-in-law, Alexander Graham Bell succeeded him as president of the National Geographic Society.

For a variety of reasons, Hubbard had battled the U.S. Postal Service and had become familiar with its internal workings, which is how he met Theodore Vail. Hubbard offered Vail the position of general manager at Bell Telephone several months after the company was incorporated. At that time, Vail was not proficient in technology, nor did he have a great formal education or vast business experience. He had gained most of his business experience as an employee of the Federal Government. He did, however, understand economies of scale and that was what impressed Hubbard.

Vail believed that telephone service in the United States should be a national one and he encouraged its formation along those lines. He did so by encouraging the establishment of semi-independent subsidiaries in very low-density areas. In exchange for granting the regional telephone companies the right to use the Bell patent, Bell Telephone received 30% to 50% of the stock. Bell Telephone was essentially licensing its technology to the regional companies while investing little, if any, of its own capital.

The only problem was that it would take many years for the subsidiaries in low-density areas to earn a significant profit. Vail saw those licenses as long-term investments but,



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unfortunately, Bell Telephone's shareholders did not take the same view. They were very displeased with Theodore Vail, and he resigned in September 1887.<sup>6</sup>

During the nine years that Vail was with Bell Telephone, he merged Bell and New England Bell to become the National Bell System. In 1880, it became American Bell Telephone Company. He was instrumental in the establishment of AT&T Long Lines, which was the original long-distance business. Under his leadership, the company purchased Western Electric from Western Union in 1881 and expanded into manufacturing telephone equipment. He also founded International Bell Telephone.

In 1887, after Vail resigned from Bell Telephone, he went to Argentina where he made a fortune in mining. He also built a water utility in the Argentine city of Cordoba, and established a streetcar company in Buenos Aires.<sup>7</sup> These various adventures were recounted by Albert Bigelow Paine in his biography of Vail, and it should be noted that Vail's significance was such that the author was also the biographer and friend of Mark Twain.

The original Bell patents expired in 1894, while Vail was in South America. AT&T, as Bell Telephone was by then known, began to attract significant competition and it was losing market share. However, it had also attracted a significant shareholder in J.P. Morgan. It was Morgan who invited Vail to return to AT&T, which he did in 1907.

Vail immediately set about purchasing his competitors and continuing his vision of a national monopoly or, as he called it, universal service. Western Union was one of the companies he acquired. He also established Bell Labs as an entity engaged in fundamental research. Under Vail's aegis, the outlines of the modern AT&T began to emerge.

Vail managed to convince both the nation's population and the Federal Government that a telephone monopoly, rather than a competitive market, was in the nation's best interest. He used the AT&T annual report to shareholders as a vehicle to communicate his vision to the public and the regulators. He believed that if people understood his plan, they would see its value. Below is an excerpt from the 1907 AT&T annual report, written by Vail and published in March of 1908:

The value of any exchange system is measured by the number of the members of any community that are connected with it. If there are two systems, neither of them serving all, important users must be connected with both systems. Connection with only one is of but partial value and cannot be satisfactory. Two exchange systems in the same community, each serving the same members, cannot be conceived of as a permanency, nor can the service in either be furnished at any material reduction because of the competition, if return

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<sup>6</sup> Ibid.

<sup>7</sup> Albert Bigelow Paine, *In One Man's Life: Being Chapters from the Personal & Business Career of Theodore N. Vail* (New York: Harper & Brothers, 1921), 205-213.



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# CONTRARIAN RESEARCH REPORT COMPENDIUM

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on investment and proper maintenance are taken into account. Duplication of charges is a waste to the user.

The advantages claimed for competition are lower rates and improved service. Exhaustive competition may temporarily produce either or both of these results, but, as stated before, this temporary gain is purchased by an excessive waste. Duplication of plant and operations cannot produce either result without exhaustive competition. Given the same management, the public must pay double rates for service to meet double charges on double capital, double operating expenses, and double maintenance. In most cases of proposed competition, an examination of the prospectus will show that, by some process, it is expected to make good a capitalization equal to at least two or three times the actual cost of the construction. The only benefits are to the promoter.<sup>8</sup>

It's worthy of note that Vail was at odds with the progressive movement in the United States, which formed the Roosevelt wing of the Republican party. He was certainly at odds with the Democrats, ultimately led by Woodrow Wilson. Nevertheless, he managed to convince all of the rightness of his views.

In 1913, in the so-called Kingsbury Commitment, the Federal Government formalized the AT&T monopoly, as it came to be known in the next 70-odd years. The Kingsbury Commitment was a letter from AT&T Vice-President Nathan Kingsbury to the U.S. Attorney General in 1913 that agreed to divest Western Union, provide long-distance service to the remaining independent telephone companies, and refrain from acquisitions unless approved by the Interstate Commerce Commission. The only material change to that regulatory system was in 1934, when the Federal Communications Commission took over regulatory control from the Interstate Commerce Commission.

Vail, who was not an owner-operator, was able to execute his vision as an agent-operator.<sup>9</sup> There are times when owner-operators are too mesmerized by the idea of long-term profits to identify a key variable which, in this case, was the possible economies of scale that could be attained on a national basis. It was Vail, alone among the telephone operators on the globe, who was able to recognize it.

In making the argument for monopoly, an owner-operator might have been perceived as speaking from self-interest, and thereby would not have been nearly as effective an advocate as an agent-operator. In this case, Vail, the agent-operator, was acting as steward of a business, and was perceived as speaking from the philosophical rightness of a given position. Unschooled as he was in telecommunications, it was Vail's vision that made the scope and size of AT&T possible.

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<sup>8</sup> Theodore N. Vail, *Views on Public Question: A Collection of Papers and Addresses of Theodore N. Vail 1907-1917* (New York: Privately Printed, 1917), 7.

<sup>9</sup> See descriptions of owner-operator and agent-operator in the footnote on page 12.

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Vail's success was not always a foregone conclusion. Elisha Gray was working on a telephone at the same time as Alexander Graham Bell. The similarity of their devices inspired years of patent litigation between them. Nevertheless, the courts found in favor of the Bell patent and it was awarded to Bell Telephone.

Had Mabel Hubbard not wished to marry Bell, her father, Gardiner Hubbard, surely would have discontinued funding for the telephone development. In that case, Bell would never have attained the telephone patent, and Gray's patent would have been uncontested. Since Gray worked with Western Union, which was ultimately controlled by the robber baron Jay Gould, it would have become the mainline telephone company for the United States instead of Bell Telephone. Gould was not known as someone with the public interest at heart. He was motivated very much by short-term profitability. Had the telephone business evolved under Gould, it's highly unlikely that he would have lobbied for a national telephone company in low-density areas, because many years would elapse before it could become profitable.

Consider the contrast with the development of electric power, which evolved very differently. The telephone business was constructed by Vail on the notion of universal service, meaning that as many people as possible were encouraged to connect to the network, which was made available in virtually every region of the country. That approach was not taken in the development of electric power.

In many cases, the electric power executives chose not to serve certain regions. Even in the 1930s, there were many areas of the country that did not have electric power. To remedy that situation, the Roosevelt administration instituted projects like the Columbia River Dam Project and the Tennessee Valley Authority. The idea was to serve areas that the utility companies had neglected and to promote economic development in those regions.

The utility companies contested the Roosevelt administration in court and lost. The companies claimed that the government had no right to seize what might become a very profitable franchise a quarter-century later, although it wasn't profitable at that time. The government, of course, did not need to operate at a profit, whereas a publicly traded enterprise did. It is likely that the telephone business would have developed along the historical lines of the electric utility business if not for Vail's vision and powers of persuasion and, of course, Mabel Hubbard's marriage to Alexander Graham Bell.

# CONTRARIAN RESEARCH REPORT COMPENDIUM

## Money Manager Index

| From Jan 1983 to April 2011 |        |        |        |        |        |        |        |        |        |        |        |        |         | Annualized return |               |                   |
|-----------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|---------|-------------------|---------------|-------------------|
| Year                        | Jan    | Feb    | Mar    | Apr    | May    | Jun    | Jul    | Aug    | Sep    | Oct    | Nov    | Dec    | Yr. End | Index             | Yearly return | (since inception) |
| 1983                        |        |        |        |        |        |        |        | 1.00   | 0.81   | 0.76   | 0.87   | 0.75   | 1983    | 0.75              | (60.5)%       | (50.2)%           |
| 1984                        | 0.75   | 0.71   | 0.70   | 0.66   | 0.67   | 0.67   | 0.61   | 0.83   | 0.79   | 0.76   | 0.67   | 0.65   | 1984    | 0.65              | (13.5)%       | (26.5)%           |
| 1985                        | 0.92   | 0.93   | 0.99   | 0.95   | 1.20   | 1.30   | 1.32   | 1.38   | 1.28   | 1.50   | 1.86   | 2.02   | 1985    | 2.02              | 211.8%        | 33.7%             |
| 1986                        | 2.46   | 2.78   | 2.47   | 2.31   | 2.36   | 2.33   | 2.03   | 2.23   | 1.98   | 2.37   | 2.34   | 2.34   | 1986    | 2.34              | 15.9%         | 28.2%             |
| 1987                        | 3.21   | 3.27   | 3.16   | 2.55   | 2.37   | 2.30   | 2.39   | 2.47   | 2.22   | 1.56   | 1.44   | 1.52   | 1987    | 1.52              | (35.0)%       | 9.9%              |
| 1988                        | 1.80   | 1.87   | 1.78   | 1.79   | 1.69   | 1.94   | 1.92   | 1.96   | 2.01   | 1.97   | 1.95   | 2.07   | 1988    | 2.07              | 36.0%         | 14.3%             |
| 1989                        | 2.42   | 2.37   | 2.54   | 2.63   | 2.64   | 2.64   | 2.93   | 3.12   | 3.07   | 3.05   | 3.23   | 3.26   | 1989    | 3.26              | 57.8%         | 20.2%             |
| 1990                        | 3.12   | 3.15   | 3.53   | 3.06   | 3.47   | 3.45   | 3.30   | 2.70   | 2.68   | 2.40   | 2.52   | 3.02   | 1990    | 3.02              | (7.3)%        | 16.1%             |
| 1991                        | 3.08   | 3.49   | 3.70   | 3.68   | 3.71   | 3.61   | 3.86   | 4.05   | 4.07   | 4.69   | 4.47   | 5.72   | 1991    | 5.72              | 89.4%         | 23.0%             |
| 1992                        | 5.76   | 5.61   | 5.30   | 5.12   | 4.98   | 4.99   | 5.93   | 6.06   | 6.19   | 6.56   | 7.25   | 7.36   | 1992    | 7.36              | 28.6%         | 23.6%             |
| 1993                        | 8.06   | 8.04   | 8.20   | 7.94   | 8.15   | 8.57   | 9.05   | 10.00  | 9.99   | 9.31   | 8.97   | 8.90   | 1993    | 8.90              | 21.0%         | 23.4%             |
| 1994                        | 9.52   | 8.73   | 8.05   | 7.85   | 7.81   | 7.53   | 7.66   | 8.31   | 8.15   | 8.52   | 7.88   | 7.95   | 1994    | 7.95              | (10.6)%       | 19.9%             |
| 1995                        | 7.74   | 8.38   | 8.72   | 8.77   | 9.20   | 9.35   | 9.93   | 10.78  | 11.22  | 10.53  | 10.89  | 10.40  | 1995    | 10.40             | 30.8%         | 20.8%             |
| 1996                        | 11.12  | 11.50  | 11.33  | 11.62  | 11.86  | 12.53  | 11.91  | 12.36  | 13.32  | 14.03  | 14.42  | 15.02  | 1996    | 15.02             | 44.4%         | 22.4%             |
| 1997                        | 16.04  | 16.81  | 15.32  | 17.27  | 18.42  | 20.29  | 22.28  | 21.39  | 25.31  | 24.95  | 24.95  | 25.50  | 1997    | 25.50             | 69.8%         | 25.2%             |
| 1998                        | 25.67  | 29.00  | 29.89  | 30.60  | 28.90  | 30.44  | 27.67  | 21.33  | 21.74  | 25.16  | 27.27  | 25.41  | 1998    | 25.41             | (0.4)%        | 23.3%             |
| 1999                        | 26.00  | 23.71  | 23.92  | 26.77  | 28.94  | 29.74  | 28.78  | 26.74  | 25.89  | 27.73  | 28.54  | 30.55  | 1999    | 30.55             | 20.2%         | 23.2%             |
| 2000                        | 31.07  | 31.19  | 36.01  | 35.60  | 35.20  | 40.32  | 43.58  | 45.75  | 45.62  | 48.69  | 44.05  | 49.84  | 2000    | 49.84             | 63.1%         | 25.2%             |
| 2001                        | 50.23  | 46.41  | 44.27  | 46.96  | 48.90  | 49.98  | 50.67  | 49.70  | 46.47  | 44.81  | 48.04  | 51.91  | 2001    | 51.91             | 4.2%          | 23.9%             |
| 2002                        | 53.62  | 53.74  | 55.11  | 52.52  | 52.83  | 50.48  | 42.58  | 44.92  | 41.54  | 42.66  | 45.78  | 43.17  | 2002    | 43.17             | (16.8)%       | 21.4%             |
| 2003                        | 42.72  | 41.18  | 42.36  | 45.98  | 49.02  | 50.71  | 53.47  | 53.97  | 53.46  | 56.12  | 55.83  | 58.49  | 2003    | 58.49             | 35.5%         | 22.1%             |
| 2004                        | 64.38  | 65.08  | 64.63  | 61.68  | 60.86  | 62.30  | 58.71  | 64.08  | 65.73  | 68.86  | 73.53  | 78.16  | 2004    | 78.16             | 33.6%         | 22.6%             |
| 2005                        | 76.46  | 77.94  | 74.06  | 72.83  | 77.02  | 80.25  | 83.59  | 83.07  | 86.03  | 89.19  | 96.58  | 97.35  | 2005    | 97.35             | 24.6%         | 22.7%             |
| 2006                        | 107.62 | 111.44 | 110.75 | 111.88 | 101.89 | 100.61 | 100.62 | 104.98 | 114.61 | 116.64 | 113.78 | 118.05 | 2006    | 118.05            | 21.3%         | 22.6%             |
| 2007                        | 125.73 | 123.77 | 122.62 | 127.58 | 133.57 | 134.68 | 126.61 | 124.07 | 133.57 | 148.09 | 135.13 | 135.56 | 2007    | 135.56            | 14.8%         | 22.3%             |
| 2008                        | 127.53 | 115.76 | 115.94 | 121.58 | 130.51 | 115.68 | 119.94 | 120.55 | 109.69 | 72.70  | 62.95  | 67.91  | 2008    | 67.91             | (49.9)%       | 18.1%             |
| 2009                        | 57.51  | 51.76  | 65.63  | 79.49  | 85.67  | 90.79  | 99.97  | 101.69 | 107.32 | 107.36 | 110.94 | 115.01 | 2009    | 115.01            | 69.4%         | 19.7%             |
| 2010                        | 106.84 | 110.32 | 118.13 | 114.91 | 100.18 | 88.17  | 97.65  | 89.64  | 103.59 | 108.29 | 108.64 | 119.58 | 2010    | 119.58            | 4.0%          | 19.1%             |
| 2011                        | 122.80 | 128.28 | 127.94 | 127.97 |        |        |        |        |        |        |        |        | 2011    | 127.97            | 7.0%          | 19.1%             |

| Name               | Amount Invested | Name                 | Amount Invested |
|--------------------|-----------------|----------------------|-----------------|
| Affiliated Manager | \$ 22,947       | Pzena Investment Mgt | \$122,426       |
| Alliance           | \$ 7,633        |                      |                 |
| BlackRock          | \$ 23,205       |                      |                 |
| Waddell & Reed     | \$ 27,513       |                      |                 |
| Eaton Vance        | \$ 2,641        |                      |                 |
| T. Rowe Price      | \$ 2,423        |                      |                 |
| Franklin resources | \$ 908          |                      |                 |
| Legg Mason         | \$ 1,000        |                      |                 |
| Federated Inv      | \$ 26,381       |                      |                 |

# CONTRARIAN RESEARCH REPORT COMPENDIUM

## International Money Manager Index

| From Jan 1986 to April 2011 |        |        |        |        |        |        |        |        |        |        |        |        |         | Annualized return |               |                   |
|-----------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|---------|-------------------|---------------|-------------------|
| Year                        | 31-Jan | 28-Feb | 31-Mar | 30-Apr | 31-May | 30-Jun | 31-Jul | 31-Aug | 30-Sep | 31-Oct | 30-Nov | 31-Dec | Yr. End | Index             | Yearly return | (since inception) |
| 1986                        |        |        |        |        |        |        |        |        |        |        | 1.00   | 1.02   | 1986    | 1.02              | 10.0%         | 10.0%             |
| 1987                        | 1.25   | 1.37   | 1.48   | 1.48   | 1.37   | 1.33   | 1.39   | 1.40   | 1.33   | 0.81   | 0.76   | 0.73   | 1987    | 0.73              | (27.7)%       | (23.3)%           |
| 1988                        | 0.75   | 0.92   | 1.02   | 0.95   | 0.80   | 0.89   | 0.88   | 0.82   | 0.86   | 0.88   | 0.89   | 0.93   | 1988    | 0.93              | 26.4%         | (3.4)%            |
| 1989                        | 1.03   | 1.02   | 1.06   | 1.17   | 1.19   | 1.18   | 1.25   | 1.16   | 1.17   | 1.20   | 1.21   | 1.28   | 1989    | 1.28              | 37.8%         | 8.1%              |
| 1990                        | 1.24   | 1.24   | 1.18   | 1.19   | 1.22   | 1.24   | 1.26   | 1.26   | 1.23   | 1.24   | 1.25   | 1.33   | 1990    | 1.33              | 3.7%          | 7.0%              |
| 1991                        | 1.34   | 1.52   | 1.56   | 1.58   | 1.57   | 1.47   | 1.52   | 1.64   | 1.81   | 1.89   | 1.94   | 1.92   | 1991    | 1.92              | 44.8%         | 13.5%             |
| 1992                        | 2.01   | 1.93   | 1.88   | 2.14   | 2.19   | 2.13   | 2.08   | 1.99   | 1.95   | 1.77   | 1.76   | 1.96   | 1992    | 1.96              | 1.9%          | 11.5%             |
| 1993                        | 1.98   | 2.03   | 2.20   | 2.39   | 2.42   | 2.45   | 2.54   | 3.05   | 3.01   | 3.07   | 3.01   | 3.30   | 1993    | 3.30              | 68.7%         | 18.1%             |
| 1994                        | 3.72   | 3.39   | 3.17   | 3.04   | 2.99   | 2.89   | 3.01   | 3.14   | 3.13   | 3.19   | 3.15   | 3.15   | 1994    | 3.15              | (4.7)%        | 15.1%             |
| 1995                        | 3.07   | 3.12   | 3.28   | 3.41   | 3.56   | 3.59   | 3.87   | 3.76   | 3.76   | 3.77   | 3.70   | 3.73   | 1995    | 3.73              | 18.6%         | 15.4%             |
| 1996                        | 3.76   | 3.85   | 3.70   | 3.79   | 3.96   | 3.90   | 3.75   | 3.96   | 4.16   | 4.47   | 4.90   | 4.86   | 1996    | 4.86              | 30.3%         | 16.8%             |
| 1997                        | 5.11   | 5.37   | 4.99   | 4.96   | 5.43   | 5.94   | 6.57   | 6.32   | 7.45   | 7.24   | 6.80   | 7.19   | 1997    | 7.19              | 47.9%         | 19.3%             |
| 1998                        | 7.12   | 8.05   | 8.78   | 9.25   | 8.95   | 8.74   | 8.91   | 6.67   | 6.08   | 7.01   | 7.51   | 7.71   | 1998    | 7.71              | 7.3%          | 18.3%             |
| 1999                        | 7.99   | 8.21   | 8.68   | 9.07   | 8.71   | 8.61   | 8.63   | 8.43   | 8.47   | 8.79   | 9.80   | 10.79  | 1999    | 10.79             | 39.9%         | 19.8%             |
| 2000                        | 11.23  | 12.27  | 13.95  | 13.50  | 13.73  | 15.39  | 15.85  | 16.82  | 17.07  | 16.31  | 14.43  | 16.76  | 2000    | 14.43             | 33.8%         | 20.7%             |
| 2001                        | 17.42  | 15.88  | 13.46  | 15.14  | 15.84  | 15.15  | 14.21  | 13.61  | 10.77  | 11.43  | 13.90  | 14.12  | 2001    | 14.12             | (2.2)%        | 19.1%             |
| 2002                        | 14.74  | 13.78  | 15.09  | 15.11  | 16.38  | 14.14  | 12.92  | 12.10  | 11.23  | 11.06  | 11.33  | 10.50  | 2002    | 10.50             | (25.6)%       | 15.7%             |
| 2003                        | 10.18  | 9.52   | 9.69   | 10.62  | 12.17  | 13.04  | 13.98  | 15.38  | 16.67  | 17.88  | 18.16  | 18.07  | 2003    | 18.07             | 72.1%         | 18.4%             |
| 2004                        | 20.00  | 22.41  | 29.98  | 35.46  | 26.68  | 30.80  | 25.37  | 25.20  | 23.67  | 23.34  | 27.56  | 31.48  | 2004    | 31.48             | 74.2%         | 20.9%             |
| 2005                        | 32.19  | 32.57  | 31.88  | 27.79  | 27.36  | 29.05  | 30.38  | 31.49  | 33.39  | 32.24  | 32.95  | 37.18  | 2005    | 37.18             | 18.1%         | 20.8%             |
| 2006                        | 41.01  | 40.97  | 43.69  | 46.45  | 42.39  | 41.58  | 40.60  | 43.32  | 43.55  | 43.70  | 44.58  | 49.38  | 2006    | 49.38             | 32.8%         | 21.3%             |
| 2007                        | 50.95  | 51.18  | 53.59  | 56.09  | 58.16  | 56.37  | 53.90  | 48.65  | 50.96  | 57.03  | 48.21  | 45.75  | 2007    | 45.75             | (7.3)%        | 19.8%             |
| 2008                        | 38.71  | 39.71  | 38.59  | 40.18  | 39.25  | 35.10  | 34.59  | 33.33  | 26.09  | 18.72  | 14.50  | 15.79  | 2008    | 15.79             | (65.5)%       | 13.3%             |
| 2009                        | 14.62  | 13.24  | 14.96  | 19.63  | 22.82  | 23.73  | 26.14  | 27.05  | 28.41  | 28.53  | 28.69  | 29.83  | 2009    | 29.83             | 89.0%         | 15.8%             |
| 2010                        | 28.50  | 27.58  | 29.90  | 29.58  | 25.53  | 24.72  | 27.82  | 26.74  | 30.36  | 33.68  | 31.85  | 34.52  | 2010    | 34.52             | 15.7%         | 15.8%             |
| 2011                        | 34.91  | 36.17  | 36.51  | 39.63  |        |        |        |        |        |        |        |        | 2011    | 39.63             | 14.8%         | 16.2%             |

| Name                            | Amount Invested | Name                            | Amount Invested |
|---------------------------------|-----------------|---------------------------------|-----------------|
| IGM FINANCIAL INC               | \$1,000         | HENDERSON GROUP PLC             | \$14,447        |
| F&C ASSET MANAGEMENT PLC        | \$1,203         | RAB CAPITAL PLC                 | \$24,603        |
| INVESCO PLC (PREVIOUSLY AMV/ESC | \$1,357         | AZIMUT HOLDING SPA              | \$21,908        |
| SCHRODERS PLC                   | \$1,208         | EVEREST FINANCIAL GROUP LIMITED | \$23,437        |
| RATHBONE BROTHERS PLC           | \$1,208         | CHARLEMAGNE CAPITAL LTD         | \$36,848        |
| ABERDEEN ASSET MGMT PLC         | \$1,208         | PARTNERS GROUP-REG              | \$36,848        |
| CI FINANCIAL INCOME FUND        | \$2,585         | INVISTA REAL ESTATE INV MNGT    | \$36,589        |
| MAN GROUP PLC                   | \$2,862         | ASHMORE GROUP PLC               | \$36,688        |
| AGF MANAGEMENT LTD-CL B         | \$3,343         | BLUEBAY ASSET MANAGEMENT/UNI    | \$37,469        |
| SPARX GROUP CO LTD              | \$11,762        |                                 |                 |